

ARIZA v LAKESIDE VENTURES LLC

22CV46059

DEFENDANT GARRETT SMITH'S DEMURRER

This matter involves a dispute over the sale of a mobile home estate located at 1475 Railroad Flat Road, Mokelumne Hill, CA ("Mobile Home Estate.") On April 3, 2023, Plaintiff Helen Ariza ("Plaintiff") filed her first amended complaint (FAC) against numerous defendants, including Garrett Smith ("Smith"). Now before the Court is Smith's demurrer to the Plaintiff's sixth cause of action for intentional interference with contractual relations.

I. Factual Background

Defendant Lakeside Ventures, LLC ("Lakeside") is a California Limited Liability Company and was, at all relevant times, the sole owner of Mobile Home Estate. (FAC ¶ 3.) Defendant Bonnie K. Tuckerman-Aho is the sole member of Lakeside. (*Id.* ¶ 16.) On June 9, 2021, Plaintiff entered into a purchase agreement with Tuckerman-Aho and Lakeside for the purchase of the Mobile Home Estate for \$800,000.00. (*Id.* ¶¶ 14, 15, Ex. 1 ("Purchase Agreement.") Prior to this contract, Smith had asked Plaintiff if he could represent her as broker/salesperson in this transaction but Plaintiff declined that offer. (*Id.* ¶ 14.)

From August 2021, to the time of the filing of the FAC, Plaintiff made ten interest-only payments of \$3,125.00 per month as required by the Addendum to the Contract of Sale, July 8, 2021 (FAC ¶ 17, Ex. 2 ("Addendum").) Plaintiff was to make the payments each month "starting at the opening of escrow not to exceed more than six months." Pursuant to the Addendum, Tuckerman-Aho could continue living in the park for sixty days after the final closing, and then had an option to continue to rent on a month-to-month basis a house for \$1,100.00 and a detached out building for \$200.

At the time the purchase of the Mobile Home Estate was made, both parties were aware that there were multiple issues with the property. Significantly, the property did not have a "Permit to Operate" because of various health and safety violations. (Purchase Agreement p. 1; FAC ¶ 18.) Tuckerman-Aho was obligated pursuant to the Purchase Agreement to remedy the property so as to reinstate the Permit to Operate. However,

this did not happen. Instead, on January 28, 2022, the Department of Housing and Community Development posted a conspicuous notice of these violations on the property (the “HCD Suspension Notice”) (FAC ¶¶ 22, Ex. 7.)

Sometime after this, Tuckerman-Aho and Lakeside, with the assistance of Smith, entered into an agreement to sell the Mobile Home Estate to third parties for more money than the agreement with Plaintiff. (FAC ¶¶ 28-31.)

The instant lawsuit followed.

II. Legal Standard

“A demurrer tests the sufficiency of a complaint and admits all facts properly pleaded.” (*Setliff v. E.I. Du Pont de Nemours & Co.* (1995) 32 Cal. App. 4th 1525, 1533.) The court assumes the truth of the allegations asserted but does not assume the truth of “contentions, deductions, or conclusions of law.” (*California Logistics, Inc. v. State of California* (2008) 161 Cal. App. 4th 242, 247.) The court can further look at those facts that “reasonably can be inferred from those expressly pleaded, and matters of which judicial notice has been taken.” (*Fremont Indemnity Co.*, 148 Cal. App. 4th 100, 111.) In considering the demurrer, the court must accept the allegations set forth in the complaint as true. (*Serrano v. Priest* (1971) 5 Cal.3d 584, 591.)

III. Discussion

In order to plead a cause of action for intentional interference with contractual relations, the Plaintiff must allege facts showing: “(1) a valid contract between plaintiff and a third party; (2) defendant’s knowledge of this contract; (3) defendant’s intentional acts designed to induce a breach or disruption of the contractual relationship; (4) actual breach or disruption of the contractual relationship; and (5) resulting damage.” (*Pacific Gas & Electric Co. v. BearStearns & Co.* (1990) 50 Cal.3d 1118, 1126.)

Here Plaintiff alleges that there was a valid contract between herself, Tuckerman-Aho and Lakeside. (FAC ¶ 15.) She alleges that Smith was aware of that contract. (FAC ¶¶ 28, 93, 94.) Plaintiff next alleges that Smith purposefully acted so as to breach or disrupt the contract between Plaintiff and the sellers by helping Tuckerman-Aho and Lakeside sell the Mobile Home Estate to third parties. (FAC ¶¶ 29, 95, 96, 98, 99.) Plaintiff alleges that as a result of Smith’s assistance in selling the Mobile Home Estate to someone

other than Plaintiff – while aware that Plaintiff had a purchase agreement – there was a breach of the contract. (FAC ¶¶101.) Finally, Plaintiff alleges that there was resulting damage. (FAC ¶¶ 43, 44, 102.)

Defendant's arguments primarily go to the merits of Plaintiff's claims or defenses to her cause of action. This is not the standard on demurrer. Accordingly, Defendant's demurrer is **OVERRULED**; Defendant Smith to file and serve an answer within ten (10) Court days of this ruling.

The Clerk shall provide notice of the Ruling forthwith. Defendant Smith to submit a formal Order pursuant to CRC 1.1312 in conformity with this Ruling.

ZAMORA, TRUSTEE v CLAPP

22CV46467

DEFENDANT’S CCP 473(b) MOTION FOR RELIEF FROM DEFAULT

This is partnership dispute involving the management of real property and two residential units thereon. On December 9, 2022, Plaintiff Dave Zamora (son and acting trustee of his father Gus Zamora’s trust) sued Defendant Clyde Clapp for breach of fiduciary duty, fraud, negligence and waste.

On June 26, 2024, the Court entered the following minute order in this matter:

The related case of 16CV41649 has fully resolved as all appellate avenues have been exhausted and an Amended Judgment was entered on 5/31/24. The Complaint has been served but not answered; plaintiff is directed to have an answer, default, or dismissal on file by the next Case Management Conference on November 13, 2024, at 1:30 p.m. in Dept. 4.

Before that November deadline, Plaintiff filed a Request for Entry of Default which was granted on October 10, 2024. At that time, counsel for both parties had been in communication and Defendant’s counsel had requested time to file the Answer and Cross-Complaint until after a trial was completed in October. Defendant’s counsel was under the impression that this timing was acceptable and was, accordingly, surprised, when he learned that default had been entered. (Declaration of Kenneth M. Foley (“Foley Decl.”) ¶¶ 8-10.)

Now before the Court is Defendant’s motion for relief from default.

A motion to set aside a default judgment under Code Civil Procedure section 473(b) must be based on either: declarations or other evidence showing “mistake, inadvertence, surprise, or excusable neglect” (in which event, relief is discretionary), or an attorney affidavit of fault (in which event, relief is mandatory). Under this section, the court is required to vacate any default or dismissal “whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney’s sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect.”